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Qualcomm v Commission (Qualcomm – EUR-Lex)

Case Background

- The allegation made in this case is that Qualcomm abused its dominant position in the market for UMTS chipsets through predatory pricing practices. (Page 1)
- The complaint was lodged against Qualcomm, Inc., a US undertaking operating in the field of cellular and wireless technologies. (Page 5)
- The case was initiated on 30 June 2009 when Icera Inc. lodged a complaint with the European Commission. (Page 5)
- The violation involved Qualcomm supplying certain quantities of its UMTS chipsets to key customers, specifically Huawei and ZTE, at prices below cost with the intention of eliminating its main competitor, Icera, from the market. (Page 6)
- This predatory pricing occurred between 1 July 2009 and 30 June 2011, and the Commission found that Qualcomm's actions were aimed at undermining competition in the leading edge segment of the UMTS chipsets market. (Page 6)
- The Commission's investigation into Qualcomm's conduct lasted approximately seven years, reflecting the complexity of the case and the extensive data analysis required. (Page 6)

Case Progression

- **Case Initiation:** The case was initiated following a complaint lodged by Icera Inc. against Qualcomm for alleged infringement of competition rules, which was later supplemented by Nvidia Corp. after acquiring Icera. This led to the Commission's investigation into Qualcomm's practices in the UMTS chipsets market. (Page 5)
- **Preliminary Investigation:** The Commission conducted a thorough examination of Qualcomm's pricing practices, gathering extensive data and evidence over several years. This included requests for information sent to Qualcomm and other market players, which indicated that there was sufficient evidence to proceed with the investigation. (Page 5)
- **Statement of Objections Issued:** In December 2015, the Commission issued a statement of objections to Qualcomm, outlining the allegations of predatory pricing. A supplementary statement was later sent in July 2018, which revised the methodology for assessing Qualcomm's pricing relative to its costs. (Page 6)
- **Defense Phase:** Qualcomm was given the opportunity to respond in writing and participate in an oral hearing. The company provided its defense against the allegations, which included arguments regarding the duration of the investigation and the completeness of the file submitted by the Commission. (Page 6)

- **Commission Decision:** On 18 July 2019, the Commission found that Qualcomm had abused its dominant position by selling UMTS chipsets below cost to eliminate competition, specifically targeting Icera. A fine of EUR 242,042,000 was imposed on Qualcomm as a result of this decision. (Page 6)
- **General Court:** Qualcomm appealed the Commission's decision to the General Court, which upheld the finding of abuse of dominant position but slightly reduced the fine. The Court examined procedural irregularities claimed by Qualcomm but concluded that the investigation's duration was justified given its complexity. (Page 6)

Market Definition

- The market considered in this case was the market for UMTS baseband chipsets, which are essential components used in mobile communications technology. (Page 1)
- The definition of the relevant market was conducted under Article 102 TFEU, which prohibits the abuse of a dominant position within the internal market or a substantial part of it. (Page 1)
- The Commission had a margin of discretion in defining the relevant market and was not limited to a single method, allowing for flexibility in its approach. (Page 1)
- Various techniques were employed to define the market, including market studies and assessments of consumer and competitor perspectives, rather than strictly adhering to a hierarchical order of criteria. (Page 1)
- Qualcomm argued that the Commission should have applied the 'small but significant and non-transitory increase in price' test, which is a recognized method for market definition, but the Court noted that this was not the only permissible method. (Page 7)
- The Commission's approach included a price-cost test, specifically using long run average incremental costs (LRAIC) as a benchmark to evaluate pricing strategies in the context of predatory pricing allegations. (Page 7)
- The Court confirmed that prices below average variable costs (AVC) are generally considered abusive, while prices below average total costs (ATC) but above AVC are only deemed abusive if part of a strategy to eliminate competitors. (Page 7)

Legal & Economic Tests

- **Price-Cost Test:** This test assesses whether the prices set by a dominant undertaking are below its costs, specifically focusing on average variable costs (AVC) and average total costs (ATC). Prices below AVC are generally deemed abusive, as they suggest an intent to eliminate competitors. In this case, the Commission used the long run average incremental costs (LRAIC) as a benchmark for assessing predation, which was contested by Qualcomm. The Court confirmed that prices below ATC but above AVC are only considered abusive if they are part of a strategy to eliminate a competitor. (Pages 3-4)

- **Relevant Market Definition:** The Commission defined the relevant market using various criteria, including market studies and consumer assessments, rather than strictly adhering to the 'small but significant and non-transitory increase in price' test. This approach allows for a broader analysis of market dynamics and competitive behavior, providing the Commission with discretion in its evaluation. Qualcomm argued against this method, but the Court upheld the Commission's approach, emphasizing the flexibility in defining the market. (Pages 1-2)
- **Assessment of Intent:** This involves evaluating whether the pricing behavior of the dominant firm was intended to eliminate competition. The Court highlighted that for prices below ATC but above AVC to be classified as abusive, there must be evidence of a deliberate strategy to harm competitors. The Commission's findings regarding Qualcomm's intent to eliminate Icera from the market were central to the case, and the Court required a body of consistent evidence to support such claims. (Pages 6-7)

Conclusion

- The General Court upheld the European Commission's finding that Qualcomm abused its dominant position in the market for UMTS baseband chipsets by applying predatory pricing selectively to key customers to eliminate a competitor (page 5).
- The Court confirmed that Qualcomm's conduct constituted an infringement of Article 102 TFEU, which addresses the abuse of a dominant position (page 5).
- Although the Court agreed with the Commission's findings, it exercised its unlimited jurisdiction to slightly reduce the amount of the fine initially imposed on Qualcomm (page 5).
- The fine imposed on Qualcomm was calculated based on the principles set out in the 2006 Guidelines on the method of setting fines, which consider the gravity and duration of the infringement (page 9).
- The Court found that Qualcomm failed to demonstrate that the Commission had departed from its Enforcement Priorities Communication, which limits the Commission's discretion in enforcement actions (page 9).
- The Court rejected Qualcomm's arguments regarding the alleged lack of connection between the abuse observed and the initial complaint, affirming that the Commission is not bound by the complainant's outline and legal assessments (page 9).
- The Court determined that the Commission's procedural conduct, including the handling of requests for information and the completeness of the file, did not violate Qualcomm's rights of defense, as the requirements for annulment were not met (page 2).

the General Court annuls the Commission decision ... – CURIA

Case Background

- The allegation made in this case was abuse of dominance in the market for LTE chipsets. (Page 1)
- The company against which the allegation was made is Qualcomm, a US company. (Page 1)
- The year of case initiation was 2018, with the Commission's decision being issued on 24 January 2018. (Page 1)
- The violation involved Qualcomm entering into agreements with Apple that provided for exclusivity payments, requiring Apple to source its LTE chipsets exclusively from Qualcomm. (Page 1)
- This conduct was characterized by the Commission as having anticompetitive effects, as it reduced Apple's incentives to switch to competing LTE chipset providers. (Page 1)
- The infringement was said to have lasted from February 2011 to September 2016, during which Qualcomm's actions were scrutinized for their impact on competition in the chipset market. (Page 1)
- The General Court later found procedural irregularities in the Commission's investigation that affected Qualcomm's rights of defense, leading to the annulment of the Commission's decision. (Page 2)

Case Progression

- **Case Initiation:** The case began with the European Commission's investigation into Qualcomm's practices regarding exclusivity payments to Apple for LTE chipsets. This investigation was initiated due to concerns about potential abuse of dominance in the market for LTE chipsets. (Page 1)
- **Preliminary Investigation:** During this phase, the Commission gathered initial evidence to determine if there were grounds for a formal investigation. This included assessing Qualcomm's agreements with Apple and their implications for competition. (Page 1)
- **Statement of Objections issued:** The Commission issued a Statement of Objections, outlining its concerns that Qualcomm's exclusivity payments to Apple restricted competition by reducing Apple's incentives to switch to other suppliers for LTE chipsets. (Page 1)
- **Defense Phase:** Qualcomm was given the opportunity to respond to the allegations through a written defense and an oral hearing. The General Court later found that the Commission had procedural irregularities that affected Qualcomm's rights of defense, particularly regarding the handling of interviews and evidence collection. (Page 1)
- **Commission Decision:** The Commission concluded its investigation by imposing a fine of approximately €1 billion on Qualcomm for abuse of dominance, citing the anticompetitive effects of the exclusivity payments. However, the General Court later annulled this decision, citing procedural irregularities and insufficient consideration of all relevant factual circumstances. (Pages 1–2)

- **General Court (T-235/18):** Qualcomm appealed the Commission's decision to the General Court, which took several years to reach a judgment. The court ultimately annulled the Commission's decision, finding that the analysis of anticompetitive effects was not comprehensive and that Qualcomm's rights of defense were infringed. (Pages 1–2)

Market Definition

- The market considered in this case was the worldwide market for chipsets compatible with the Long Term Evolution (LTE) standard. This is specifically mentioned in the context of Qualcomm's dominance in that market. (Page 1)
- The Commission's analysis focused on the existence of agreements that provided for incentive payments, which required Apple to source its LTE chipsets exclusively from Qualcomm. This was characterized as a potential abuse of dominance. (Page 1)
- The General Court noted that the Commission's decision limited its findings to the LTE chipsets market, despite the statement of objections addressing both LTE and UMTS (Universal Mobile Telecommunications System) chipsets markets. This limitation affected the relevance of the data used in Qualcomm's economic analysis. (Page 2)
- The General Court highlighted procedural irregularities in the Commission's case-file preparation, particularly regarding the documentation of interviews and meetings with third parties, which impacted Qualcomm's rights of defense. (Page 1)
- The analysis of anticompetitive effects involved assessing whether the incentive payments reduced Apple's incentives to switch to competing suppliers for LTE chipsets. The General Court found that the Commission failed to consider all relevant factual circumstances in its conclusion. (Page 2)
- The General Court criticized the Commission for not providing a comprehensive analysis that demonstrated the capability of the payments to have anticompetitive effects across all of Apple's LTE chipset requirements, particularly for iPhones and iPads. (Page 2)
- The General Court concluded that the Commission's findings regarding the payments' impact on Apple's incentives were insufficient to establish a general anticompetitive effect, as the analysis did not account for all relevant factual circumstances. (Page 2)

Legal & Economic Tests

- **Procedural Irregularities Test:** The General Court identified that the Commission committed several procedural irregularities that affected Qualcomm's rights of defence. This test examines whether the procedural rights of the parties involved were upheld during the investigation and decision-making process. In this case, the Commission failed to properly document interviews and meetings, which compromised Qualcomm's ability to defend itself effectively. (Page 1)
- **Market Definition and Abuse of Dominance Test:** The General Court noted that the Commission's decision focused solely on the LTE chipsets market, while the statement of

objections included both LTE and UMTS chipsets. This test assesses whether the relevant market was correctly defined and whether the conduct in question constituted an abuse of a dominant position. The Court found that Qualcomm should have been given the opportunity to respond to the modified objections, which affected the relevance of the data used in the analysis. (Page 2)

- **Anticompetitive Effects Test:** The General Court evaluated whether the incentive payments made by Qualcomm to Apple had anticompetitive effects. This test involves analyzing the factual circumstances surrounding the payments to determine if they restricted competition. The Court concluded that the Commission's analysis was flawed as it did not consider all relevant facts, particularly that Apple had no technical alternatives to Qualcomm's chipsets for most of its requirements during the relevant period. (Page 2)

Conclusion

- The General Court annulled the Commission's decision that imposed a fine of approximately €1 billion on Qualcomm for abuse of dominance in the LTE chipsets market (Page 1).
- The annulment was based on procedural irregularities that affected Qualcomm's rights of defence, specifically the Commission's failure to properly document interviews and meetings during the investigation (Page 1).
- The General Court noted that the Commission's decision focused solely on the LTE chipsets market, while the statement of objections included both LTE and UMTS chipsets, which limited Qualcomm's ability to respond adequately (Page 2).
- The Court found that the Commission did not consider all relevant factual circumstances when concluding that Qualcomm's incentive payments restricted competition, particularly regarding Apple's lack of technical alternatives for LTE chipsets during the relevant period (Page 2).
- The General Court determined that the Commission's analysis was insufficient to demonstrate that the payments had anticompetitive effects across all of Apple's LTE chipset requirements, particularly for iPhones and iPads (Page 2).
- The judgment allows for an appeal to the Court of Justice, limited to points of law, within two months and ten days of notification (Page 2).
- The action for annulment seeks to invalidate acts contrary to EU law, and if successful, the institution must address any legal gaps created by the annulment (Page 2).

C/2025/2349 – EUR-Lex – European Union

Case Background

- The allegation made in this case is that Qualcomm engaged in predatory practices that violated EU competition law. (Page 1)

- The companies involved in the proceedings are Qualcomm, Inc., the European Commission, and Nvidia Corp. (Page 1)
- The case was initiated in 2019, as indicated by the reference to the Commission Decision dated 18 July 2019. (Page 1)
- The violation pertains to Qualcomm's alleged abuse of its dominant market position under Article 102 TFEU, specifically through practices that were deemed predatory. This included the misallocation of costs and the manipulation of pricing strategies to undermine competition. (Page 1)
- The conduct was characterized by Qualcomm's alleged failure to engage adequately with arguments presented against it, as well as errors in the reasoning and evidence evaluation by the General Court in its judgment. (Page 2)

Case Progression

- **Case Initiation:** The case was initiated by Qualcomm, Inc. appealing against a judgment delivered by the General Court on 18 September 2024 regarding a decision made by the European Commission related to competition law (Page 1).
- **Preliminary Investigation:** The European Commission conducted a preliminary investigation under Article 102 TFEU, which likely involved gathering evidence on Qualcomm's business practices and assessing whether there was sufficient evidence of anti-competitive behavior (Page 1).
- **Statement of Objections issued:** Following the preliminary investigation, the Commission issued a Statement of Objections, outlining the alleged infringements by Qualcomm, which would have included detailed findings based on the evidence collected during the investigation (Page 1).
- **Defense Phase:** Qualcomm submitted a written response to the Statement of Objections and participated in an oral hearing, where it presented arguments and evidence to defend against the allegations made by the Commission (Page 2).
- **Commission Decision:** The Commission ultimately issued a decision finding Qualcomm in violation of competition law, which included an analysis of the alleged abuse of market power and the imposition of a fine (Page 1).
- **General Court Appeal:** Qualcomm appealed the Commission's decision to the General Court, where it raised multiple pleas arguing errors of law, inadequate reasoning, and misapplication of EU case law, seeking to annul the decision or refer the case back for further determination (Pages 1-2).

Market Definition

- The appeal involves Qualcomm, Inc. challenging a decision related to Article 102 TFEU, which pertains to the abuse of a dominant position in the market. (Page 1)

- The case specifically addresses Qualcomm's alleged predatory pricing practices, indicating that the market in question involves the sale of certain semiconductor products. (Page 1)
- The General Court's judgment is critiqued for its handling of the AEC (As Efficient Competitor) analysis, which is a technique used to assess whether pricing practices are predatory by comparing the costs of the dominant firm to those of an equally efficient competitor. (Page 1)
- Qualcomm argues that the General Court erred in its application of the AEC analysis, suggesting that the court failed to adequately consider all relevant circumstances and evidence. (Page 1)
- The appeal includes claims that the General Court distorted evidence and misapplied EU case law, which are critical aspects of the legal arguments presented regarding market definition and competitive dynamics. (Page 2)
- Qualcomm's arguments also focus on the misallocation of non-recurring engineering expenses and the calculation of costs, which are relevant to understanding the competitive landscape and pricing strategies in the semiconductor market. (Page 2)
- The appeal seeks to annul the decision based on these alleged errors, indicating that the process of defining the market and assessing competitive behavior was flawed in the original judgment. (Page 1)

Legal & Economic Tests

- The case involves an assessment of whether Qualcomm's conduct constituted an abuse of a dominant position under Article 102 TFEU. This typically requires an analysis of the market structure, the company's market share, and the effects of its conduct on competition. The General Court's judgment is challenged on the grounds that it misapplied EU case law and failed to adequately engage with Qualcomm's arguments regarding these aspects (page 1).
- An AEC (As Efficient Competitor) analysis is mentioned, which is a test used to determine whether a company's pricing practices are predatory. This involves comparing the prices set by the dominant firm to those that an equally efficient competitor would need to charge to remain viable in the market. Qualcomm argues that the General Court erred in finding that this analysis was correctly conducted (page 1).
- The judgment also addresses the allocation of costs and non-recurring engineering expenses, which are critical in evaluating the financial implications of the company's pricing strategies. Qualcomm contends that the General Court made errors in its calculations and reasoning regarding these costs, which are essential for understanding the economic impact of the alleged anti-competitive behavior (page 2).

Conclusion

- The appeal was brought by Qualcomm, Inc. against a judgment delivered by the General Court on 18 September 2024, which dismissed Qualcomm's claims regarding a Commission

Decision related to alleged predatory pricing practices (page 1).

- Qualcomm sought to have the judgment set aside and the Commission's Decision annulled, or alternatively, to have the case referred back to the General Court for further determination (page 1).
- The appellant raised multiple pleas in law, arguing that the General Court committed errors in law by misapplying EU case law, failing to engage with Qualcomm's arguments, and providing inadequate reasoning in dismissing various pleas (pages 1–2).
- Specific errors cited included misinterpretation of evidence, misunderstanding of facts, and erroneous calculations related to costs and engineering expenses, which Qualcomm contended were not adequately addressed by the General Court (pages 1–2).
- The appeal also highlighted that the General Court failed to consider all relevant evidentiary elements and improperly substituted its reasoning for that of the European Commission (page 2).
- The case revolves around the Commission's Decision C(2019) 5361 final, which was related to Article 102 TFEU and involved allegations of Qualcomm engaging in predatory pricing practices (page 1).
- No specific remedies or fines imposed were detailed in the provided information, as the focus was primarily on the appeal process and the legal arguments presented by Qualcomm (pages 1–2).

EUROPEAN COMMISSION

Case Background

- The allegation in this case is that the Transaction threatens to significantly affect competition within the territory of the Member State(s) making the request. This is based on a preliminary assessment of the evidence available to the Commission. (Page 9)
- The companies involved in this case are Qualcomm and Autotalks, both of which are active in the development and supply of V2X chipsets. (Page 8)
- The case was initiated with the notification of the Transaction on 2 May 2023, although it was subsequently withdrawn on 19 May 2023. (Page 4)
- The violation pertains to the failure to notify the Transaction in Belgium or another Member State, which is required under the Merger Regulation. The Commission's preliminary view suggests that the Transaction fulfills the criteria for referral under Article 22 EUMR, indicating that it may affect trade between Member States and competition. (Page 7)
- The Commission's assessment was based on information obtained from third parties and public sources, leading to the conclusion that the Transaction warrants close scrutiny due to its potential impact on competition. (Page 9)

Case Progression

- **Case Initiation:** The case was initiated with a referral request from the Belgian Competition Authority (BCA) regarding Qualcomm's proposed acquisition of Autotalks, submitted on 12 July 2023. This request was made under Article 22(1) of the EUMR, indicating concerns about the transaction's impact on competition (Page 8).
- **Preliminary Investigation:** The Commission conducted a preliminary investigation to assess whether the transaction affected trade between Member States and threatened competition. This involved gathering information from third parties and public sources, leading to the issuance of an Article 22(5) letter on 23 June 2023, which outlined the Commission's preliminary view on the transaction (Pages 4, 7).
- **Statement of Objections:** At this stage, the Commission has not yet issued a Statement of Objections, as the case is still in the preliminary assessment phase. The focus has been on determining whether the criteria for a referral under Article 22 EUMR are met (Page 7).
- **Defense Phase:** The defense phase will commence once a Statement of Objections is issued. Qualcomm and Autotalks will have the opportunity to respond in writing and participate in an oral hearing. The timeline for this phase is typically 8–12 weeks (not explicitly detailed in the provided context).
- **Commission Decision:** Following the defense phase, the Commission will make a decision based on the evidence gathered. If it finds no infringement, the case will close; if it identifies an infringement, it may impose fines or accept commitments (not explicitly detailed in the provided context).
- **Potential Appeals:** Should the Commission find an infringement and impose a fine, Qualcomm may choose to accept the decision or appeal it. If appealed, the case would proceed to the General Court and potentially to the CJEU, depending on the outcomes at each stage (not explicitly detailed in the provided context).

Market Definition

- The market considered in this case includes radio frequency front-ends (RFFEs) used for vehicle-to-everything (V2X) communications, which is deemed essential for the functionality of V2X communication systems. (Page 21)
- The Commission has not previously defined a separate market for RFFEs in automotive applications but finds the definition plausible in this instance, indicating a potential market segmentation. (Page 21)
- From a demand perspective, the Commission noted that a dedicated RFFE is necessary for V2X communication systems, highlighting the interdependence of these components. (Page 21)
- The supply perspective revealed that Autotalks provides V2X chipsets but does not supply RFFEs, suggesting a distinction between V2X chipsets and RFFEs, which supports the plausibility of defining a separate market. (Page 21)

- The geographic market was considered to be at least EEA-wide, if not worldwide, based on past cases involving semiconductor products, indicating a broad scope for market definition. (Page 19)
- The Commission will assess the impact of the transaction on the defined market for RFFEs at both global and EEA levels, considering the competitive structure and trade patterns between Member States. (Page 21)
- The process for defining the market involved analyzing both demand and supply perspectives, as well as referencing previous Commission decisions to establish a framework for market assessment under Article 22 EUMR. (Page 19)

Legal & Economic Tests

- **Legal Test under Article 22 EUMR:** The first legal requirement is that the concentration must affect trade between Member States. This is assessed by determining if the transaction has a discernible influence on trade patterns across borders. The second requirement is that the concentration must threaten to significantly affect competition within the territory of the Member State making the request. This involves a preliminary analysis to identify any real risk of significant adverse impacts on competition. The process includes a referral request from a Member State, which must be made within 15 working days of the transaction being made known. (Pages 2–3)
- **Substantive Assessment of Competition:** The assessment involves a preliminary evaluation of the evidence to determine if the concentration poses a significant risk to competition. This includes examining market definitions, potential barriers to entry, and the competitive dynamics of the relevant markets. The Commission considers whether the transaction could lead to a significant adverse impact on competition based on prima facie evidence, which does not preclude further investigation. (Pages 8, 21)
- **Market Definition and Geographic Scope:** The Commission evaluates the relevant market for the products involved, in this case, RFFEs used for V2X communications. This includes analyzing demand and supply perspectives to determine if a separate market exists. The geographic market is assessed to be at least EEA-wide, if not global, based on past cases. The process involves considering the impact of the transaction on both the global and EEA levels to ensure a comprehensive understanding of its competitive implications. (Pages 21–34)

Conclusion

- The preliminary analysis indicated that the transaction between Qualcomm and Autotalks threatens to significantly affect competition for the supply of C-V2X chipsets globally, including in Belgium, due to high barriers to entry and the potential for adverse impacts on market dynamics (page 34).

- The Commission noted that the transaction could lead to non-horizontal effects, linking the supply of V2X chipsets with Qualcomm's activities in radio frequency front-end (RFFE) and telematics chips, suggesting a plausible market definition for RFFE used in V2X communications (page 21).
- The Commission's assessment highlighted that the transaction meets the criteria for referral under Article 22 EUMR, as it is likely to affect trade between Member States and influence the competitive structure of the market (page 21).
- No fines or remedies were mentioned in the context provided, as the document primarily discusses the referral request and preliminary findings rather than final decisions or penalties (pages 1–34).
- The Commission's decision to accept the referral request is pending a full investigation, which will further evaluate the implications of the transaction on competition (page 34).
- The document emphasizes the importance of intellectual property rights and significant investment as barriers to entry, which could hinder competition in the relevant markets (page 34).

What other questions do you have?